

6.6.2 Particular Areas

One can well see that there are suggested areas of market intervention— whether regulation or promotion, in the Seventh Schedule under Art 246 that delineates subject-matter of laws to be made by Parliament and by the Legislatures of States. List I (Union List) roughly enumerate them generally under entries 22 through 61, List II (State List) does so under entries 13 through 32, and List III (Concurrent List) lists them under 20 through 38. Many other entries also have relevance for market intervention while some of the entries noted above may not strictly be related with market intervention. Generally, there is separation in intervention between the two level of governments, Union and State. But there may be areas where Union and States are dealing with separate aspects of the same area, like mining or industry or communication. There may be an area where both the governments are competent to legislate, like electricity, but if there is conflict then the Parliamentary Act shall prevail over the Legislative ones. For rough mapping of entries of three lists across sectors, see the Appendix.

It may be noted that market intervention here means influencing production, consumption, and transportation as well as price, quantity, and quality. It should be noted that we have avoided mentioning fiscal and monetary instruments as they indirectly influence the market except those fiscal instruments which may be called sin taxes.

State intervention can be broadly classified as establishment, development, and welfare in economic matters. Development and welfare functions can be partly effected through intervention in market functions— sometimes to promote efficiency but at others to promote equity. However, any efficiency measure will have implications for equity and vice versa.

Check Your Progress 5

- 1) Which article of the Constitution of India specifically suggest that State has power to intervene in market?

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- 2) Where are listed areas of legislative intervention in the Constitution of India for Union and the States?

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3) What is the significance of the Concurrent List in the Constitution of India?

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6.7 STATE INTERVENTION AND STATE INTERFERENCE

There is a subtle difference between intervention and interference. Intervention is welcome move by a third party to resolve an issue between two parties, to improve the outcome. Interference is a move that is often resisted, not welcome, by the party which finds it disruptive, making outcome worse. Intervention is considered a positive move while interference is a negative one. What if a move by the State is welcome by one party and rued by the other?

State may not always be right. It is quite possible that State is unnecessarily intervening without good reasons. It is also possible that a State intervention may continue beyond the time it is needed. It is possible that it might become excessive and found to become interference. It is also possible that government has not well understood the situation and may have unnecessarily intervened. Something considered good in 1950s might not be needed in 2000s, suggesting that such moves have outlived their utility. There may be generational shift or ideological shift about the role of State. Their continuance might have counterproductive. Yet, a party may be gaining at the cost of another or the country as a whole.

It may be pointed that 1500 Parliamentary Acts that were found archaic, were repealed in recent years— quite a few of them were economic, impinging upon market functioning.

In India, we often discuss the movement from LPQ (License, Permit and Quota) raj to LPG (Liberalisation, Privatisation and Globalisation) regime. Reforms of 1950s are said to have been relevant during that period. Reforms of 1990s are currently continuing in the same direction. For example, liberalisation means removal of restrictions. So, restrictions are being removed gradually.

There may be several reasons for unnecessary intervention. One of them is rent-seeking nature of politicians and bureaucracy. Another is regulatory capture by industrial biggies whereby regulators get willingly captured by private interests. Still another is pursuit of self-interest by regulators. Similarly, often electorate demand, or political objectives of a ruling party may not be very rational or in the larger interest of the country. There are several others. Scholars of late have asserted that there exists what one can call government failure.

6.8 LET US SUM UP

State is perhaps the most important institution humans have evolved to sustain social living and resolve conflicts that may arise in societal affairs. Market is one of such societal affairs. It intervenes in market in general but also in specific markets to influence level of production, level of prices, quality of products or standards of service, etc. It devises several instruments as well as institutions through which it intervenes. It is to be appreciated that the relationship between State and Market has not been the same across space or time in terms of dominance, competition and cooperation. Despite a tendency of assertion by market, State is called for stabilisation in terms of crises; at other times, market seeks its entry through partnership into the development areas that for a long time were preserve of the State.

Neoclassical economists have over time enumerated the reasons as to when and where State is called upon to intervene in market for specific goods under the assumption that State is most efficacious institution to improve the outcomes. Microeconomic interventions can be undertaken for both purposes– improving efficiency and enhancing equity.

Efficiency interventions generally try to improve welfare (the sum total of producer surplus and consumer surplus and, if relevant, government revenue) and decrease deadweight loss which may be caused by imperfection in competition or presence of externalities. If the operation of a factor market results in further deterioration in the extant inequality, State may intervene to ameliorate the worsening of inequality. There are other interventions directly hitting at distribution but, in this unit, focus has been on those interventions which directly relate to specific markets.

The unit has also broadly touched the direction for intervention in market generally and specific markets through legislation as suggested in the Constitution of India which divides the areas of legislation between the Union and the States. It also hints that State may not always be right in intervening or choosing right kind of institution and instrument.

6.9 TERM- END EXERCISES

- 1) What do you mean by market failure? What factors can cause a market failure?
- 2) What do you mean by State or Government intervention? What does an intervention try to impact?
- 3) Explain neoclassical arguments favouring State intervention in specific market.
- 4) Show how a factor market may be efficient but not just.
- 5) Explain the significance of Article 39 (b) of the Constitution of India from the angle of market failure and government intervention.

6.10 KEY WORDS

Demerit Goods : Goods that consumers may like but are actually harmful though they do not appreciate it and therefore their